

Message 1 of 28

| CAISO Energy - Brokers (2) |                                                                                                                    |
|----------------------------|--------------------------------------------------------------------------------------------------------------------|
| Sender                     | shari.stack@enron.com                                                                                              |
| Recipients                 | ['robert.badeer@enron.com', 'christian.yoder@enron.com', 'evelyn.metoyer@enron.com', 'stephanie.piwetz@enron.c...] |
| File                       | badeer-r/notes_inbox/111.                                                                                          |

Dear All,

I have heard from several of you today that we continue to receive Broker Confirms which reference "WSPP Schedule C" instead of "CAISO Energy" for deals done at California Delivery Points. I have spoken with Bob Badeer and he promised me that he and Jeff are going to call them as soon as they can.

In the meantime, if for any SP15, NP15, or Z26 deals we receive a Broker Confirmation with "WSPP Schedule C" instead of "CAISO Energy", please mark out the former by hand and replace it with the latter. Then fax the amended Confirmation back to the Broker and say something in the fax Cover Sheet to the effect of :

"We have amended the attached Confirmation(s) to show that the relevant energy purchased/sold is "CAISO Energy". Please revise your Confirmation(s) to reflect this modification and send the amended Confirmation(s) to us and our Counterparty. Should you have any questions with regard to the "CAISO Energy" product, please contact Bob Badeer on (503) 464-3926 or Jeff Richter on (503) 464-3720."

Let's give Bob and Jeff some time to call the brokers and I would propose to reassess the situation next Monday (I am out of the office on business on Friday). Let's see where we are then.

Thanks everyone,

Shari

----- Forwarded by Shari Stack/HOU/ECT on 07/31/2000 05:57 PM -----

Shari Stack 07/27/2000 04:07 PM

To: Robert Badeer/HOU/ECT@ECT, Jeff Richter/HOU/ECT@ECT cc: Tim Belden/HOU/ECT@ECT, Christian Yoder/HOU/ECT@ECT, Elizabeth Sager/HOU/ECT@ECT, Kim S Theriot/HOU/ECT@ECT Subject: Power Brokers who will not reference CAISO Energy

Bob & Jeff,

At my request, the Confirm Desk has put together a list of Brokers who continue to reference " West Firm" rather than "CAISO" in their Broker Confirmations for deals done at the California Delivery Points. Please see Kim's email below.

Could you please speak with each of them and reiterate that they must specifically reference "CAISO" energy in their Confirmations if that is the product we told them that we would buy or sell?

Bob- I will call you later on this afternoon about Pacificorp. We got 2 more Confirms today with "CAISO" stricken through.

Thanks in advance guys,

Shari Stack Enron North America, Legal Department Tel: (713) 853-9477

----- Forwarded by Shari Stack/HOU/ECT on 07/27/2000 02:45 PM -----

Kim S Theriot 07/27/2000 02:23 PM

To: Shari Stack/HOU/ECT@ECT cc: Subject: Power Brokers-CAISO Reference

The following are Brokers and their respective back office contacts:

Prebon Angie Martinez at 201-557-5999 example: Trade Date: 7/25/00 reference #254667 and #254543.

Natsource Sherry Fountain 212-896-2154 example: Trade Date 7/26/00, their ref # 1297561221

Tradition Dana Enright 203-316-2678 example: Trade Date 7/25/00, their ref # E58505S

Optimum Kirsty 403-215-8162 example: Trade Date 7/26/00, their ref # 07304

Altra Jennifer Barrett 713-210-8279 exmple: Trade Date 6/23/00 ref#14085

Amerex Chad (Broker) 281-634-9020 Amerex specifies "Firm CAISO Energy WSPP Schedule C with liquidating damages"

Bloomberg Karen Kingsbury 212-893-3233 Trade Date 7/26/00, ref. # 20000726400002

We will bring you copies of the Broker Statements above. Let me know if you need anything else.

Kim

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*Message 2 of 28*

### Stakeholder Meeting in San Diego

|            |                              |
|------------|------------------------------|
| Sender     | shapp@caiso.com              |
| Recipients | ['20participants@caiso.com'] |
| File       | badeer-r/all_documents/156.  |

#### MEETING NOTICE

Cal-ISO Market Participants and SDG&E Stakeholders:

A Cal-ISO Stakeholder meeting will be held in San Diego on Wednesday August 23, 2000 to discuss the preliminary study results of SDG&E's annual five-year transmission expansion plan and detailed studies being conducted for the Valley-Rainbow 500 kV Project. The meeting will be held at:

Sempra Energy Corporate Headquarters Auditorium 3 101 Ash Street (corner of First Ave & Ash St) San Diego, California 92101 9:30 AM to 2:30 PM Lunch will be provided.

For more information on this subject please refer to the ISO web site at [www.caiso.com](http://www.caiso.com). Documents pertaining to the 2000 SDG&E Transmission Expansion Plan are located at:

<http://www.caiso.com/docs/2000/02/28/2000022816421912528.html>

A map showing directions to Sempra Energy's office location from the airport is available upon request. If you plan to attend this meeting, please RSVP to Dave Miller at the telephone number or E-mail address shown below by Wednesday August 16, 2000.

David M. Miller, Jr. Telephone (858) 654-8623 E-mail [dmmiller@sdge.com](mailto:dmmiller@sdge.com) Fax (858) 654-8636

If you have questions regarding the meeting arrangements, please contact David Miller. If you have questions regarding the studies, please contact Steve Mavis at 916-351-2112 or [smavis@caiso.com](mailto:smavis@caiso.com).

Don Fuller Director, Client Relations 916-608-7055 [DFuller@caiso.com](mailto:DFuller@caiso.com)

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*Message 3 of 28*

### July 21 Stakeholder Meeting

|            |                                 |
|------------|---------------------------------|
| Sender     | shapp@caiso.com                 |
| Recipients | ['20participants@caiso.com']    |
| File       | badeer-r/discussion_threads/70. |

The Stakeholder meeting of July 21, 2000 will be held in the Sacramento Room at the Sheraton Hotel, 11211 Point East Drive, Rancho Cordova, CA 95742. For those who will be participating through a conference call, you will call the hotel at

(916) 638-1100 and ask to be connected to the conference call in the Sacramento Room. The meeting is scheduled for 9:00 to 12:00 and lunch will be served.

A map with directions from the Sacramento Airport is attached. If you have any questions or need additional information, feel free to contact me at the number listed below.

<<Map to Sheraton.doc>>

Sue Happ Administrative Assistant Client Relations (916) 608-7059 shapp@caiso.com

- Map to Sheraton.doc

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Message 4 of 28

### Distributed Generation Meeting, August 31, 2000

|            |                                  |
|------------|----------------------------------|
| Sender     | shapp@caiso.com                  |
| Recipients | ['20participants@caiso.com']     |
| File       | badeer-r/discussion_threads/247. |

<<...>>

#### Reminder

The California ISO Distributed Generation Meeting is scheduled to take place Thursday, August 31, 2000. The meeting is at the ISO Folsom Office, conference room 101A a & b from 10:30 a.m. to 5:00 p.m. If you cannot attend the meeting there will be a listen only conference call at 877-381-6004, ID # 96489, Leader: Don Fuller.

The Distributed Generation White Paper by Jeanne Sole sent to Market Participants on August 18, 2000, will be the basis of discussion for the entire meeting. You can reference the White Paper at the California ISO web page <http://www.caiso.com/>. Click on the Stakeholder Button to go to Stakeholder Processes. The White Paper is at Market Participant Communications posted on August 18.

Thanks to those of you who have sent in your RSVP. For those of you who have not sent in your RSVP, a reminder may be appropriate. RSVP stands for Reserve Seat & Verify Provisions, so if you have not sent in your RSVP, you will either not be present or you will be standing and hungry. Please send your RSVP by Tuesday, August 29, to Sue Happ AT 916-608-7059 or e-mail at shapp@caiso.com.

Please contact Sue if you need any additional information.

Don Fuller Director, Client Relations California ISO

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Message 5 of 28

### Paycheck Update

|            |                              |
|------------|------------------------------|
| Sender     | announcements.ubsw@enron.com |
| Recipients | []                           |
| File       | badeer-r/deleted_items/3.    |

=20 UBSW Energy LLC Portland Employees =20 Just a reminder, any of you that are still missing your 2/28 paychecks due = to postal delays can contact me by e-mail at [anthony.jarrett@ubswenergy.com](mailto:anthony.jarrett@ubswenergy.com)= <<mailto:anthony.jarrett@ubswenergy.com>> and I will request a wire transfer= to deposit the funds directly into your accounts. Earnings statements for= those of you that have already had wire transfers processed on 3/4 and 3/5= are now available at my desk ECS 05852. If you request a wire transfer, s= top payments will be placed on your checks that were sent in the mail. Wire= transfers may take as long as 24 hours for your bank to post. If you shoul= d receive the 2/28

checks by mail, there is no need to return the voided checks. If any of you have issues with late fees, etc. please let us know and we will be working with the Stamford, CT office to reimburse you for any losses. For those of you that have requested wire transfers I will overnight the statements to Chris Calgers attention. Thanks, Tony Jarrett

-----Original Message----- From: UBSW Energy General Announcements Sent: Monday, March 04, 2002 10:50 AM Subject: Missing Paychecks

The checks mailed from Stamford CT, last Monday in some instances were not received by Saturday and we are doing all we can to track these down and work with the affected employees to help them with any commitments they need to meet. While difficult to substantiate, it appears the late checks appear to be those for employees whose last names begin with an "S-Z" in the alphabet. We are hopeful these checks will arrive today, but if you are still missing a pay check, even if you have already called or spoken to me this morning, please e-mail me your home address to [anthony.jarrett@ubswenergy.com](mailto:anthony.jarrett@ubswenergy.com) so I can verify the address in the system. If you have personal financial circumstances requiring this payment today please let me know and we will try to work with you on a case by case basis. We have already requested that paychecks for the 3/15 paydate be FedExed to the Houston office to prevent this delay next paydate. I would like to receive all notices by Noon central time today.

Thanks, Tony Jarrett (713) 853-7829 E-mail: [anthony.jarrett@ubswenergy.com](mailto:anthony.jarrett@ubswenergy.com)  
<<mailto:anthony.jarrett@ubswenergy.com>>

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### EnronOnline Phase 2

|            |                                                                                                                                                                                                                                                                                            |
|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Sender     | <a href="mailto:david.forster@enron.com">david.forster@enron.com</a>                                                                                                                                                                                                                       |
| Recipients | [' <a href="mailto:louise.kitchen@enron.com">louise.kitchen@enron.com</a> ', ' <a href="mailto:andy.zipper@enron.com">andy.zipper@enron.com</a> ', ' <a href="mailto:dave.samuels@enron.com">dave.samuels@enron.com</a> ', ' <a href="mailto:eol.wide@enron.com">eol.wide@enron.com</a> '] |
| File       | <a href="#">badeer-r/notes_inbox/68.</a>                                                                                                                                                                                                                                                   |

The new version of the EnronOnline website is almost ready for launch. This new version includes a new look and feel and new functionality designed to bring more information to our customers and to provide new ways to transact with Enron.

We will soon be sending you an email announcing the specific launch date for Phase 2 of EnronOnline. In the meantime, we have prepared a series of presentations and training sessions designed to help you become familiar with the new site. Please try to attend one of the following, as these will be the only opportunity for you to see the new functionality first hand before the site is launched.

#### Presentation Dates

Monday, August 28 Houston: 4:30 EB30C1 Calgary: 4:00 Boardroom

Tuesday, August 29 Houston: 5:00 EB30C1 London: 6:00 5th floor training room Portland Time and locations to be determined Singapore: Time and location to be determined Australia: Time and location to be determined Oslo 2:00 Training room

Wednesday, August 30 London 6:00 5th floor training room

#### Training Session Dates

Training room sessions will provide the opportunity to obtain some hands-on experience with Phase 2 of EnronOnline before we go live. It is recommended that you attend one of the above presentations prior to attending a training session.

Training sessions will be available in the London office immediately following the presentations. If you are located in an office other than Houston or London and wish to participate in a training session, please contact Tammie Schoppe at 713 853 4220.

Wednesday August 30 Houston: 4:00 EB568 Offices other than Houston or London: contact Tammie Schoppe at 713 853 4220.

Thursday August 31 Houston: 4:00 EB568 Offices other than Houston or London: Contact Tammie Schoppe at 713 853 4220.

Thursday, Sept. 7 Houston: 4:00 EB568 Offices other than Houston or London: Contact Tammie Schoppe at 713 853 4220.

There will be a further email soon which will identify the specific date of launch of Phase 2 of EnronOnline.

If you have any questions about the above, please contact me at 713 853 1861 or Dave Samuels at 713 853 6931.

Thank you,

Dave Forster

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Message 7 of 28

### Enron In Action 8.28.00

|            |                               |
|------------|-------------------------------|
| Sender     | enron.announcements@enron.com |
| Recipients | [all.houston@enron.com]       |
| File       | badeer-r/notes_inbox/49.      |

The United Way Day of Caring is September 15! Sign up now to "Make the World a Better Place." For more information, click here <http://home.enron.com/cr>.

Chairman's Award Nominate Your Hero Today! If you know someone who deserves to be honored for their practices of Respect, Integrity, Communication and Excellence, click here <http://home.enron.com/>. Nominations are open now through October 1.

Brown Bag Lunch Bring your lunch and join us on Wednesday, September 6 in EB49C1 at 11:30 a.m. to hear about the Houston Ballet's With the Houston 2000-2001 season. Learn about World Premieres, as well as the classic, full-evening story ballets featured in the Ballet upcoming season, which is sure to be exciting! Please RSVP now to [Jessica.Nunez@enron.com](mailto:Jessica.Nunez@enron.com).

Radio Music A Free Night of Comedy! Enron employees have been invited to enjoy a free performance on any Thursday Theatre at 8:30 p.m. or Saturday at 10:30 p.m. during the month of September . Seating is limited and reservations are required. When you call, give your name, the number of people in your party and the date you wish to attend. Just mention that you are with Enron and your entire party is admitted free! For reservations, call 713-522-7722.

Help Knock Out The Juvenile Diabetes Foundation is seeking walkers, team leaders and volunteers to participate in their annual Diabetes! "Walk For the Cure," held on November 5. On September 6, there will be a city-wide kick-off luncheon at the Downtown Hyatt from 11:30 a.m. - 1:00 p.m. Please RSVP before Wednesday, August 30 to Cathy Phillips at 713-853-6898. For more information, contact Rachel Feldt at 713-345-7629.

UH Cougar The UH Cougar Classic 5K Fun Run & Kids 1K, benefiting the University of Houston Track program and the Houston Classic 5K Track Club, is scheduled for September 9. If you are interested in participating or volunteering, please contact Cindy Richardson at 713-853-4770. For more information, run to <http://home.enron.com:84/erc/index.html>.

2000 American The American Heart Walk is a national event to increase awareness of walking as a heart-healthy exercise and Heart Walk to raise funds to continue the American Heart Association's fight against heart disease and stroke. The event will be held on October 14 at Sam Houston Park. If you would like to participate, please sign up now by calling Diana Barrero at 713-610-5093.

The Volunteer Incentive Program (VIP) rewards qualified non-profit organizations with grants up to \$500 per employee, based on volunteer service. This year, Enron employees have logged 19,383 volunteer hours, with 227 organizations, for a total of \$13,200 in VIP donations! To learn more, click here <http://home.enron.com>.

Message 8 of 28

**CAISO Notification: "Non-Firm" Real Time Energy Market Bids to b e**

|            |                                                                                                           |
|------------|-----------------------------------------------------------------------------------------------------------|
| Sender     | khoffman@caiso.com                                                                                        |
| Recipients | ['20participants@caiso.com', 'jmcintosh@caiso.com', 'isoclientrelations@caiso.com', 'tcarlson@caiso.com'] |
| File       | badeer-r/notes_inbox/86.                                                                                  |

Market Participants and Schedule Coordinators,

Please be advised that all Supplemental Energy bids (including imports and exports) submitted to the ISO for use in the real-time Imbalance Energy Market are considered to be "FIRM" (i.e., the bids cannot be withdrawn after 45 minutes prior to the Settlement Period and can be dispatched by the ISO anytime during the Settlement Period, see - ISO Tariff o 2.5.22.4.1).

Any bids labeled as "Non- Firm" or reported to the CAISO real-time scheduler as "Non-Firm" or recallable will be rejected. The CAISO does not carry the necessary excess reserves to support "Non-Firm" Supplemental Imports.

If there are any questions concerning this practice please contact Brian Rahman at 916-608-5883.

Brian S. Rahman P.E. Manager of Markets - California ISO Phone (916) 608-5883 Pager (916) 814-0614

Message 9 of 28

**CAISO Notice - Solicitation for Guaranteed Generation Service**

|            |                                  |
|------------|----------------------------------|
| Sender     | bwoertz@caiso.com                |
| Recipients | ['20participants@caiso.com']     |
| File       | badeer-r/discussion_threads/118. |

Market Participants:

On August 1, 2000, the ISO Board of Governors approved a proposal to conduct a competitive solicitation to procure guaranteed generation service during natural gas curtailments in the Los Angeles Basin. Since the service must in place by December 1, 2000, and the ISO expects this service to be provided by existing generation, the ISO needs to have responses by October 6, 2000. ISO staff is preparing the materials for the solicitation and expects to release those materials in the next few weeks. We expect final approval of a response by the Board of Governors during the week of October 23, 2000.

This note will allow potential respondents to begin preparing your response in advance of the release of the solicitation.

The Board memo and presentation regarding this solicitation, which include the proposed principles of the solicitation, can be found at <http://www.caiso.com/docs/2000/07/27/2000072714421515747.html>

<<http://www.caiso.com/docs/2000/07/27/2000072714421515747.html>> .

We will notify you again when the materials are ready. If you have any questions, please contact Brian Theaker at (916) 608-5804, or [btheaker@caiso.com](mailto:btheaker@caiso.com) <<mailto:btheaker@caiso.com>> .

Brian Theaker Manager of Reliability Contracts California ISO (916) 608-5804 (voice) (916) 351-2487 (fax)

Message 10 of 28

**CAISO ADS Notification: ADS II Kickoff (Automated Dispatching Sy**

|            |                                                                                                                |
|------------|----------------------------------------------------------------------------------------------------------------|
| Sender     | khoffman@caiso.com                                                                                             |
| Recipients | ['jcole@caiso.com', 'adsproject@caiso.com', 'gford@caiso.com', 'cgrant@caiso.com', '20participants@caiso.com'] |
| File       | badeer-r/discussion_threads/165.                                                                               |

ISO Automated Dispatching System (ADS) Project Distribution List:

The ISO will host an "Automated Dispatching System Phase II" project kickoff and informational working session on Thursday, August 24, 2000, from 9 AM through Noon, at the Lake Natoma Inn, Folsom. A Continental Breakfast will be served.

Please RSVP to Colleen Grant, ISO Client Relations at 916-608- 7069 or e-mail Cgrant@caiso.com .

Each Market Participant should send its designated principle contact or liaison for this California ISO ADS Phase II project session. As an alternative, we will have a conference bridge open, number to follow.

The ISO ADS Project Phase II Management Team of Kristine Kelley and Greg Ford will be introduced at this kickoff session. We will also review the ADS project history and progress to date, review business requirements and functionality improvements for the next release of ADS, conduct a Q & A session, and receive Market Participant feedback on the project.

A preliminary project scope and detailed agenda will follow, by August 18.

Attached, for your information, are the slides from the ADS Phase II presentation given at the August 9 MIF meeting.

<<ADS MIF 0809.ppt>> Thank you for your continued participation in the development of electronic dispatch for the California ISO. Implementation of the next version of ADS is imperative to help assure efficient, accurate dispatch of Real Time energy, and the associated notification, logging and energy settlement.

Greg Ford California ISO Market Operations (916) 351-2344 gford@caiso.com

Kyle T. Hoffman, (916) 608-7057 Client Relations, California ISO Internet: Khoffman@caiso.com Fax: (916) 608-7074

- ADS MIF 0809.ppt

Message 11 of 28

**DJ US Sen. Feinstein Urges Cap For Western US Power Market**

|            |                                                                                                               |
|------------|---------------------------------------------------------------------------------------------------------------|
| Sender     | carla.hoffman@enron.com                                                                                       |
| Recipients | ['jeff.richter@enron.com', 'robert.badeer@enron.com', 'tim.belden@enron.com', '(bcc: Carla Hoffman/PDX/ECT)'] |
| File       | badeer-r/all_documents/78.                                                                                    |

----- Forwarded by Carla Hoffman/PDX/ECT on 08/24/2000 07:50

AM -----

Enron Capital & Trade Resources Corp.

From: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> 08/24/2000 07:13 AM

To: "Golden, Mark" <Mark.Golden@dowjones.com> cc: (bcc: Carla Hoffman/PDX/ECT) Subject: DJ US Sen. Feinstein Urges Cap For Western US Power Market

14:05 GMT 24 August 2000 DJ US Sen. Feinstein Urges Cap For Western US Power Market

NEW YORK (Dow Jones)--U.S. Senator Diane Feinstein, D-Calif., on Wednesday urged the Federal Energy Regulatory Commission to place a regionwide cap on wholesale electricity rates for the western United States.

To date, a price cap of \$250 per megawatt-hour has been placed only on California's power market. A regional cap is necessary to avoid "electricity bidding wars" between western states during power shortages that could result in blackouts in California, Feinstein said.

"As is clearly evident, the energy market in San Diego is not functioning, at this time, as a true market," Feinstein said in a letter to FERC Chairman James J. Hoecker. "The lack of energy generation has produced a dramatic increase in electricity prices with many families and businesses facing energy bills two or three times higher than normal and has led to the possibility of wholesale price gouging."

Feinstein also supported President Clinton's use Wednesday of \$2.6 million in emergency energy assistance funds for low income households, and special credit programs for small businesses.

-By James Covert, Dow Jones Newswires; 201-938-2061; james.covert@dowjones.com Copyright (c) 2000, Dow Jones & Company Inc

G\_nther A. Pergher Senior Analyst Dow Jones & Company Inc. Tel. 609.520.7067 Fax. 609.452.3531

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Message 12 of 28

### DJ Clinton To Direct Govt To Help Calif On Electricity Woes

|            |                                                                                                               |
|------------|---------------------------------------------------------------------------------------------------------------|
| Sender     | carla.hoffman@enron.com                                                                                       |
| Recipients | ['jeff.richter@enron.com', 'robert.badeer@enron.com', 'tim.belden@enron.com', '(bcc: Carla Hoffman/PDX/ECT)'] |
| File       | badeer-r/discussion_threads/189.                                                                              |

----- Forwarded by Carla Hoffman/PDX/ECT on 08/23/2000 08:24

AM -----

Enron Capital & Trade Resources Corp.

From: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> 08/23/2000 07:42 AM

To: "Golden, Mark" <Mark.Golden@dowjones.com>, "Leopold, Jason" <Jason.Leopold@dowjones.com> cc: (bcc: Carla Hoffman/PDX/ECT) Subject: DJ Clinton To Direct Govt To Help Calif On Electricity Woes

14:22 GMT 23 August 2000 DJ Clinton To Direct Govt To Help Calif On Electricity Woes

WASHINGTON (Dow Jones)--U.S. President Bill Clinton will direct federal agencies Wednesday to provide financial assistance to low-income families and small businesses in Southern California to help them cope with high electricity bills, the White House said in a written statement.

Clinton also ordered the release of \$2.6 million from the Low Income Home Energy Assistance Program to help low-income families in Southern California. The Small Business Administration will urge its lending partners to use SBA credit programs to help small businesses with their energy costs.

Clinton is taking the action because of a steep rise in the wholesale price of electricity, the statement said.

In addition, Clinton has called on Energy Secretary Bill Richardson to ask the Federal Energy Regulatory Commission to speed up an investigation into the bulk market for electricity "so that state and federal regulators and policy makers can have the information they need to protect consumers in a timely fashion."

Clinton's actions marks the second time this summer the president has stepped in to help California cope with its electricity shortages. Earlier, Clinton called on all federal facilities in California to cut their power usage and to direct power back into the electricity grid.

-By Alex Keto, Dow Jones Newswires; 202 862 9256; alex.keto@dowjones.com

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G\_nther A. Pergher Senior Analyst Dow Jones & Company Inc. Tel. 609.520.7067 Fax. 609.452.3531

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### DJ US Northwest Pwr Forwards Higher On Water; SW 3Q Up

|            |                                                                                                               |
|------------|---------------------------------------------------------------------------------------------------------------|
| Sender     | carla.hoffman@enron.com                                                                                       |
| Recipients | ['jeff.richter@enron.com', 'robert.badeer@enron.com', 'tim.belden@enron.com', '(bcc: Carla Hoffman/PDX/ECT)'] |
| File       | badeer-r/all_documents/72.                                                                                    |

----- Forwarded by Carla Hoffman/PDX/ECT on 08/24/2000 02:07

PM -----

Enron Capital & Trade Resources Corp.

From: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> 08/24/2000 02:05 PM

To: "Leopold, Jason" <Jason.Leopold@dowjones.com> cc: (bcc: Carla Hoffman/PDX/ECT) Subject: DJ US Northwest Pwr Forwards Higher On Water; SW 3Q Up

21:03 GMT 24 August 2000 DJ US Northwest Pwr Forwards Higher On Water; SW 3Q Up

NEW YORK (Dow Jones)--Forward prices for electricity in the northwest U.S. rose Thursday on concerns about hydroelectric supplies in the region, traders said.

Hydroelectric dam reservoirs are low in the Northwest due to a lack of rain the past several weeks. River flows have been even lower than forecast this week, and hydroelectric generators have been run as much as possible to make up for reductions in supply from the Colstrip generating station in Montana. Transmission lines from the station had to be turned off several times over the past two weeks due to forest fires in the state.

"All the generators on the Columbia River right now are sucking mud," one northwest utility prescheduler said Thursday.

Southwest prompt forwards were flat Thursday, but third quarter 2001 contracts started racing higher late in the day. Traders said that Enron Corp. is a big buyer. The market rumor is that the California Independent System Operator is in the market for 3,000 megawatts of supply for next summer.

California-Oregon Border contracts for September traded Thursday at \$197-\$205 per megawatt-hour, compared with Wednesday's range of \$181-\$190/MWh.

October COB traded at \$139-\$145/MWh, compared with \$126-\$129/MWh Wednesday.

September Palo Verde contracts traded at \$175-\$178/MWh, unchanged. Third-quarter 2001 Palo Verde traded at \$182-\$200/MWh Thursday, compared with \$175-\$177/MWh Wednesday.

-By Mark Golden; 201-938-4604; mark.golden@dowjones.com Copyright (c) 2000, Dow Jones & Company Inc G\_nther A. Pergher Senior Analyst Dow Jones & Company Inc. Tel. 609.520.7067 Fax. 609.452.3531

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Message 14 of 28

### DJ Calif ISO Exceeded \$250 Cap In Off-system Buys -Sources

|            |                                                                                                              |
|------------|--------------------------------------------------------------------------------------------------------------|
| Sender     | carla.hoffman@enron.com                                                                                      |
| Recipients | [jeff.richter@enron.com', 'robert.badeer@enron.com', 'tim.belden@enron.com', '(bcc: Carla Hoffman/PDX/ECT)'] |
| File       | badeer-r/dj_articles/3.                                                                                      |

----- Forwarded by Carla Hoffman/PDX/ECT on 08/16/2000 08:36

AM -----

Enron Capital & Trade Resources Corp.

From: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> 08/16/2000 08:16 AM

To: "Leopold, Jason" <Jason.Leopold@dowjones.com> cc: (bcc: Carla Hoffman/PDX/ECT) Subject: DJ Calif ISO Exceeded \$250 Cap In Off-system Buys -Sources

15:13 GMT 16 August 2000 DJ Calif ISO Exceeded \$250 Cap In Off-system Buys -Sources NEW YORK (Dow Jones)--The California Independent System Operator had to pay more than its stated maximum price of \$250 a megawatt-hour this week due to short supplies of electricity in the western U.S. amid high air-conditioning demand, according to market sources. Under its price cap rules, the ISO is allowed to exceed its cap in "out-of-market" purchases, which is when it purchases power in deals arranged directly with sellers over the phone, rather than through its usual computer-based purchasing system. The current cap was lowered to \$250/MWh from \$500/MWh starting August 7. The ISO wouldn't confirm that it had to pay more than \$250 Monday. "We're not going to reveal whether this is happening, or at what price," spokeswoman Stephanie McCorkel told Dow Jones Newswires. "For the sake of protecting consumers, we will keep our price strategy confidential. But any out-of-market purchase above the cap is very rare." On Sunday, the ISO agreed to pay about \$350/MWh at Palo Verde to a southwest utility for on-peak Monday power, according to a trader for the utility, who spoke on the condition of anonymity. Bilateral trades not involving the ISO were done as high as \$375/MWh Monday afternoon in the real-time market. Other market sources said that the ISO exceeded its cap again Tuesday afternoon, when several major California generating units were be taken off line for unplanned repairs, and the real-time market rose to \$500/MWh for one hour at Palo Verde. Those purchases couldn't be confirmed with sellers. According to its price cap rule, "Such reduced cap shall not apply to out-of-market calls placed by management to out-of-state generator resources." Some market participants say that regular out-of-market purchases above \$250/MWh could persuade suppliers to not offer power to the ISO via its computer-based system, which has plateaued at \$250/MWh for most of both Monday and Tuesday afternoons. And owners of generating stations in California say there is no justification for giving preferential treatment to out-of-state generators. -Mark Golden; Dow Jones Newswires 201-938-4604; mark.golden@dowjones.com Copyright (c) 2000, Dow Jones & Company Inc

G\_nther A. Pergher Senior Analyst Dow Jones & Company Inc. Tel. 609.520.7067 Fax. 609.452.3531

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Message 15 of 28

## DJ Calif Assembly Delays SDG&E Rate Roll-Back Vote To Thu

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| Sender     | carla.hoffman@enron.com                                                                                       |
| Recipients | ['jeff.richter@enron.com', 'robert.badeer@enron.com', 'tim.belden@enron.com', '(bcc: Carla Hoffman/PDX/ECT)'] |
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PM -----

Enron Capital & Trade Resources Corp.

From: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> 08/23/2000 12:26 PM

To: "Leopold, Jason" <Jason.Leopold@dowjones.com> cc: (bcc: Carla Hoffman/PDX/ECT) Subject: DJ Calif Assembly Delays SDG&E Rate Roll-Back Vote To Thu

18:43 GMT 23 August 2000 \*DJ Calif Assembly Delays SDG&E Rate Roll-Back Vote To Thu

Question About Who Will Pay Elec Bills

NEW YORK (Dow Jones)--The California State Assembly has postponed until Thursday a vote on restoring electricity rates for customers of San Diego Gas & Electric Co. to pre-deregulation levels, according to a spokesman for Assemblywoman Susan Davis (D-San Diego), who is sponsoring the bill.

The bill was sent to the assembly's appropriations committee because some representatives are concerned about who - if not SDG&E customers - will pay for electricity in the city this summer and past spring. The difference between what SDG&E customers would pay under the legislation and what SDG&E is paying for supplies in the skyrocketing electricity markets has been estimated at \$1.5 billion.

Assembly Passage Of Measure Uncertain

The legislation would roll back electricity rates to June 1, 1999, levels for customers of SDG&E, a unit of Semptra Energy (SRE). This spring and summer, the utility's customers have received electricity bills that are nearly triple what they were last year.

Electricity rates for the state's other utilities haven't been deregulated yet, so their customers are receiving fixed prices per kilowatt-hour of power used.

Prospects for passage of the bill, AB 2290, are unclear in the Assembly. The California State Senate passed the bill unanimously last week. But it would need 54 votes to pass through the 80-member Assembly before Gov. Gray Davis could consider signing it into law.

If all 47 Democrats approve the measure, it would need at least seven Republican votes to pass. But, as reported Tuesday, only three Republican lawmakers said they would support the bill.

The rollback would provide some economic relief to SDG&E's 1.1 million customers, who have been paying market-based rates for electricity since June. If the rollback is approved, utility bills for residential customers would be about \$55 to \$60 a month, according to SDG&E.

Steve Maviglio, press secretary to Davis, said the governor hasn't decided whether he would sign the bill into law if approved.

Monday, the state's Public Utilities Commission rejected a proposal to roll back rates, instead approving a stabilization rate plan that would reduce the cost of electricity to about \$68 a month for residential customers who conserve usage.

-By Mark Golden, Dow Jones Newswires; 201-938-4604; mark.golden@dowjones.com Copyright (c) 2000, Dow Jones & Company Inc

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Message 16 of 28

### DJ Calif Pwr Producers Urge FERC Reject Price Cap Petition

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|------------|---------------------------------------------------------------------------------------------------------------|
| Sender     | carla.hoffman@enron.com                                                                                       |
| Recipients | ['jeff.richter@enron.com', 'robert.badeer@enron.com', 'tim.belden@enron.com', '(bcc: Carla Hoffman/PDX/ECT)'] |
| File       | badeer-r/dj_articles/4.                                                                                       |

----- Forwarded by Carla Hoffman/PDX/ECT on 08/15/2000 08:17

AM -----

Enron Capital & Trade Resources Corp.

From: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> 08/15/2000 06:33 AM

To: "Golden, Mark" <Mark.Golden@dowjones.com>, "Leopold, Jason" <Jason.Leopold@dowjones.com> cc: (bcc: Carla Hoffman/PDX/ECT) Subject: DJ Calif Pwr Producers Urge FERC Reject Price Cap Petition

12:15 GMT 15 August 2000 DJ Calif Pwr Producers Urge FERC Reject Price Cap Petition (This article was originally published Monday) WASHINGTON (Dow Jones)--California power producers urged federal regulators Monday to reject a petition for price caps in the state, arguing that intervention in the market would be counterproductive by discouraging needed investment in new power supplies. The petition was filed Aug. 2 with the U.S. Federal Energy Regulatory Commission by San Diego Gas & Electric Co., a unit of Semptra Energy (SRE). It alleges that California's first-in-the-nation competitive power market suffers from design and structural problems. Surging power prices plaguing the state this summer "do not reflect legitimate forces of supply and demand," SDG&E said, calling on FERC to impose across-the-board electricity price caps in California of \$250 per megawatt-hour indefinitely until the market flaws are corrected. But the power producers rejected SDG&E's analysis of the market problems as "simplistic," and called the imposition of price caps on all California power sales an unwarranted response to the power supply shortage. "SDG&E asks the commission to take unreasonable and unprecedented action that would effectively rescind every California supplier's authority to sell energy and ancillary services at market-based rates," complained Southern Energy California, a subsidiary of Southern Co. (SO). "A strict cap will only exacerbate the current supply shortages in California," Southern Energy and the other power suppliers argued. "The imposition of this cap by FERC may discourage power developers from choosing to serve California markets," said Dynegy Power Marketing Inc. (DYN). "The cap may also convince (electricity users they) need not participate in load-reduction programs, since paying the \$250 price cap is cheaper than shedding load," Dynegy told the commission. "The imposition of caps on every California market, and the increased uncertainty as to when - if ever - they might be removed, sends precisely the wrong message to potential suppliers of energy in California," Southern Energy said. The arguments of the individual power producers in the state were echoed by the Electric Power Supply Association, the national trade group representing competitive power producers and marketers. Imposing price caps in California's volatile electricity prices would "suffocate markets" and do nothing to address the chronic power-supply shortages causing prices to spike, EPSA told FERC. "The relief SDG&E seeks would actually prolong and intensify California's difficulties," EPSA said. Price caps would discourage electricity imports and investment in new power plants to supply the state, while discouraging price risk management, liquidity and accurate price signals, EPSA said. FERC has already allowed the California Independent System Operator to cap the price it is willing to pay for

power, which it uses to assure the grid operates properly and to make up "energy imbalances" on the system. The ISO recently lowered its purchase price cap to \$250 per megawatt-hour. The SDG&E petition asks FERC to extend that cap to the state's power exchange, or PX, which operates as a clearinghouse for wholesale power sales in California. "A PX bid cap is unnecessary because the ISO purchase price cap has historically acted as a de facto cap on the PX markets," Dynegy told FERC. -By Bryan Lee, Dow Jones Newswires; 202-862-6647; bryan.lee@dowjones.com Copyright (c) 2000, Dow Jones & Company Inc

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Message 17 of 28

**\*DJ Calif. PUC Approves Utilities Buying Pwr Out Of CalPX**

|            |                                 |
|------------|---------------------------------|
| Sender     | robert.badeer@enron.com         |
| Recipients | ['mpetroch@enron.com']          |
| File       | badeer-r/discussion_threads/27. |

----- Forwarded by Robert Badeer/HOU/ECT on 06/14/2000 02:14

PM ----- From: Greg Wolfe on 06/08/2000 03:48 PM To: Chris H Foster/HOU/ECT@ECT, Tim Belden/HOU/ECT@ECT, Robert Badeer/HOU/ECT@ECT, Jeff Richter/HOU/ECT@ECT cc: Subject: \*DJ Calif. PUC Approves Utilities Buying Pwr Out Of CalPX

----- Forwarded by Greg Wolfe/HOU/ECT on 06/08/2000 05:52 PM

Enron Capital & Trade Resources Corp.

From: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> 06/08/2000 01:10 PM

To: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> cc: (bcc: Greg Wolfe/HOU/ECT) Subject: \*DJ Calif. PUC Approves Utilities Buying Pwr Out Of CalPX

17:46 GMT 8 June 2000 \*DJ Calif. PUC Approves Utilities Buying Pwr Out Of CalPX

Mandatory Buy Requirement Ends For Utilities

LOS ANGELES (Dow Jones)--The California Public Utilities Commission approved a controversial plan Thursday morning that will allow the state's three investor-owned utilities to buy power outside the California Power Exchange market structure.

The commission voted 3 to 2 in favor of the measure. Commissioners Henry Duque, Richard A. Bilas and Josiah Neepner voted in favor of the draft order.

The decision relieves the three investor-owned utilities, Sempra Energy unit San Diego Gas & Electric (SRE), Pacific Gas & Electric (PCG) and Edison International unit Southern California Edison (EIX), from their mandatory buy requirement that became effective in March 1998 when the state moved to a deregulated competitive market. Originally the mandatory buy requirement was set to end in 2002, when all three utilities recovered their stranded costs.

"This decision is not as earth shattering as it sounds," Commissioner Bilas, one of the author's of the draft order, said at Thursday's meeting. "I am not criticizing the power exchange. But this will result in lower prices patched through to bundled customers."

Trading platforms like Automated Power Exchange and the New York Mercantile Exchange can now compete directly with the CalPX, which currently controls 85% of the state's wholesale power market. The utilities can buy power from other "qualified exchanges" through an advice letter process.

#### Utilities Can Trade With Other Exchanges Now

California's big three utilities can buy power outside the CalPX market structure immediately, through an advice letter process, which means the utilities have to notify the commission of their intent to trade power with qualified exchanges such as APX, Nymex or Bloomberg.

The commission said the exchanges have to offer the same services as the CalPX - forward, daily and monthly trading, and anonymity to prevent self dealing between the buy side and sell side - in order to meet the criteria for a qualified exchange.

Exchanges would also have to be independently owned from the utilities. Enron Online would not meet the criteria for a qualified exchange, commissioners said.

The advice letter only needs to be filed once and is merely a formality that would not need to be approved by a majority of the commission.

Mark Huffman, PG&E senior attorney for regulatory affairs, told Dow Jones Newswires that his company "will quickly start looking at other exchanges and see what's out there. We're going to start the advice letter process."

SoCal Edison and SDG&E said they will do the same.

Ed Cazalet, chairman and founder of APX, said Thursday's controversial three-to-two vote in favor of the draft order "creates a tremendous opportunity for APX."

"It allows us to bring the benefits of Silicon Valley technology to California," Cazalet said. "This is really about bringing e-commerce to the market."

E. Jesus Arredondo, however, disagreed, saying "selling into our market doesn't cost anything and selling into the APX market costs 20 cents per megawatt-hour."

Commissioner said having other exchanges will not only result in lower electricity prices, but it will allow the buyer and seller the chance to see prices before making the purchase.

CalPX's block forward prices are not immediately published, Commissioner Bilas said.

Reacting to the ruling, CalPX Chief Executive Officer George Sladoje said "Today's split vote by the CPUC in favor of accelerating the introduction of other qualified exchanges is not well-reasoned and it may in the end prove counterproductive."

-By Jason Leopold; Dow Jones Newswires (323) 658-3874; jason.leopold@dowjones.com Copyright (c) 2000, Dow Jones & Company Inc

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Message 18 of 28

**DJ Rising Electricity Prices Could Be Wild Card In July CPI**

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| <b>Sender</b>     | carla.hoffman@enron.com                                                                                      |
| <b>Recipients</b> | [jeff.richter@enron.com', 'robert.badeer@enron.com', 'tim.belden@enron.com', '(bcc: Carla Hoffman/PDX/ECT)'] |
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----- Forwarded by Carla Hoffman/PDX/ECT on 08/11/2000 10:18

AM -----

Enron Capital &amp; Trade Resources Corp.

From: "Pergher, Gunther" &lt;Gunther.Pergher@dowjones.com&gt; 08/11/2000 09:59 AM

To: "Pergher, Gunther" &lt;Gunther.Pergher@dowjones.com&gt; cc: (bcc: Carla Hoffman/PDX/ECT) Subject: DJ Rising Electricity Prices Could Be Wild Card In July CPI

16:55 GMT 11 August 2000 =DJ Rising Electricity Prices Could Be Wild Card In July CPI

By Henry J. Pulizzi Of DOW JONES NEWSWIRES

WASHINGTON (Dow Jones)--Now that gasoline prices are finally settling down, economists say another energy component could prove to be a spoiler on the government's main consumer inflation gauge. Amid a shifting regulatory landscape and typical summertime price increases, the nation's utilities appear to be boosting consumers' electricity bills enough to skew the Labor Department's July consumer price index. Those gains would partly offset the anticipated favorable influence of recently declining gas prices. "There is a real chance of startling increases in electricity prices over the next month or two, thanks mostly to the bungled deregulation of the industry," Ian Sheperdson, chief U.S. economist at High Frequency Economics in Valhalla, N.Y., wrote in a recent report. "All the anecdotal evidence from the West and East Costs suggests consumers are reeling from sudden double - and in some cases triple - digit percentage increases in their bills." First Union economist Mark Vitner agreed: "It is a potential trouble spot, it is a particular problem in the West." In California, where no new power plants have been built in a decade, the private companies that purchased plants from the state's utilities have been raising prices in response to strong demand and dwindling supply. The impact of the cost increases will be revealed Wednesday, when the Labor Department releases the July CPI next Wednesday. Economists generally expect the figures to point to a continued tame inflation scenario - a 0.1% overall monthly increase, featuring declining clothing, computer and gas prices is forecast. Labor Department economist Patrick Jackman said recent statistics suggest gas prices fell 3% to 3.5% last month. That would mark a departure from June, when soaring prices at the nation's gas stations contributed to a big 0.6% spike in the CPI. Rising Demand, Surging Prices But electricity, which represents 2.5% of the entire index, will be a wild card in the coming report. Electricity costs usually rise in the summer as consumers pay more for the juice that powers their air conditioners. This summer is no different, Vitner said, adding that utilities have even more pricing power than normal.

"Overall demand for electricity has been rising. All this high-tech equipment uses a lot of electricity," Vitner said. Indeed, prices rose 0.8% in June after seasonal adjustments. Before those adjustments, prices surged a whopping 6.6% during the month. As for a July increase, Jackman said "it certainly is a possibility. The question is how are the seasonal factors are going to handle it." Sheperdson, however, believes it's clear that electricity costs are on the rise. "Three factors are driving prices higher," he said. "First, flaws in the auction system set up after deregulation effectively allow the generating companies to manipulate prices at times of high demand. Second, the economic boom means that periods of high demand are much more common than was anticipated at the time of deregulation, so generators have more opportunity to extract premium prices from distributors and, hence, consumers. Third, little new electricity-generating capacity has been added in recent years." Producer prices, which Sheperdson says provide a good guide to movements in the CPI, may offer ominous insight into the potential consumer electricity price gains. Residential electric power prices on the producer level rose faster in July than at any point since January 1991. And they aren't expected to slow down anytime soon. August could be especially problematic because higher electricity costs will coincide with another pickup in gas prices and continued gains in natural gas prices, Vitner said. "We have no idea how far the CPI measure of residential electricity prices could rise, but there must be a good chance that substantial increases will be recorded," Sheperdson said. "With

natural gas prices also climbing again, following a dip in July, it may take a while before energy ceases to push inflation higher." -Henry J. Pulizzi; Dow Jones Newswires; 202-862-9255; henry.pulizzi@dowjones.com Copyright (c) 2000, Dow Jones & Company Inc

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Message 19 of 28

### DJ BIG PICTURE: Wider Econ Risks In California's Power Woes

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|------------|---------------------------------------------------------------------------------------------------------------|
| Sender     | carla.hoffman@enron.com                                                                                       |
| Recipients | ['jeff.richter@enron.com', 'robert.badeer@enron.com', 'tim.belden@enron.com', '(bcc: Carla Hoffman/PDX/ECT)'] |
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----- Forwarded by Carla Hoffman/PDX/ECT on 08/07/2000 08:24

AM -----

Enron Capital & Trade Resources Corp.

From: "Pergher, Gunther" <Gunther.Pergher@dowjones.com> 08/07/2000 06:46 AM

To: "Golden, Mark" <Mark.Golden@dowjones.com>, "Kim, Cheryl" <Cheryl.Kim@dowjones.com>, "Leopold, Jason" <Jason.Leopold@dowjones.com> cc: (bcc: Carla Hoffman/PDX/ECT) Subject: DJ BIG PICTURE: Wider Econ Risks In California's Power Woes

13:26 GMT 7 August 2000 =DJ BIG PICTURE: Wider Econ Risks In California's Power Woes

By John McAuley Of DOW JONES NEWSWIRES

NEW YORK (Dow Jones)--Hot weather and a still-robust economy have intensified electricity demand in the face of drum-tight power supplies in California, the nation's most populous - and, in economic terms, most important - state.

The resultant rolling "brown outs" and the potential for blackouts in the future could have a noticeable empirical and real impact on industrial production in California and even in the national statistics. Indeed, the impact is likely to be greatest in the highest value-added sectors: computers and computer components, two industries that have been a key engine of U.S. growth.

Not only that, electricity generation is an important proxy in the Federal Reserve's estimation of industrial production. So, the measurement of statistics could be directly affected.

About half of the industrial output contained in the industrial production index is compiled on the basis of actual output volumes - tons of steel, boardfeet of lumber, or millions of autos assembled, etc. For other forms of output, accounting for about a quarter of the index, contributions to total production are estimated based on hours worked data, with the implicit assumption that productivity - or the rate of real output per labor hour - doesn't change much over short periods of time in these industries. But the remainder of the index, about 26% according to a Fed economist, is estimated using electricity generation measures.

For this purpose, electricity generation is itself estimated from measures of electric power usage by industry. Here, as with productivity, the technical coefficient, or the amount of electricity input per unit of output, is assumed to be constant over relatively long periods.

As Usual, Things Are Different In California

California power companies, as part of the deregulation of the electric power industry, offer their business customers "interruptible rate plans". That means that for a discounted rate, customers "voluntarily" allow the power company to interrupt their power supply in times of peak demand.

Too bad.

The heat of summer combined with continuing strong economic activity has, in fact, resulted in widespread interruptions throughout California.

And there is a precedent for how such interruptions can have both a statistical and real impact on production: the San Francisco earthquake of October 1989.

That quake disrupted electricity generation, particularly south of the city in Silicon Valley. Largely as a result of that disruption, national industrial production declined by 0.5% (0.6% in manufacturing) in October 1989.

The computer and semiconductor chip producers in Silicon Valley and elsewhere in the state are very heavy users of electricity. It is reasonable to expect that their total consumption of electricity, and their output, have skyrocketed since 1989.

This industry has a twofold importance to the rest of the national economy.

First, chips are essential inputs to the production of other industries from "smart chips" in cars to central processing units for computers. Thus, a bottleneck in chip supplies because of electricity interruptions could have ripple effects beyond California.

Second, chip production is among the highest value-added activities in the U.S. economy - each stage of production adds significantly to the value of total output. This means that the specific shock impact on this industry could have a greatly magnified effect on overall economic activity.

The usage is not confined to chip production, however. An extensive range of other California-based industries - from chemicals to textiles - have intensive electricity usage in their production.

Their production will be estimated lower because of the reduction in electricity. And in fact, real production will be lowered by a reduced electricity input.

Ironically, these interruptions could complement the Fed's efforts to slow economic activity and take some of the pressure off for further rate increases. What infuriates Californians might actually be a welcome development for the rest of us.

-By John McAuley, Dow Jones Newswires, 201-938-4425 john.mcauley@dowjones.com

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Message 20 of 28

### EnronOnline Training Dates Change

|            |                                                                                                                    |
|------------|--------------------------------------------------------------------------------------------------------------------|
| Sender     | david.forster@enron.com                                                                                            |
| Recipients | ['adam.gross@enron.com', 'andy.zipper@enron.com', 'dave.samuels@enron.com', 'louise.kitchen@enron.com', 'allan...] |
| File       | badeer-r/all_documents/5.                                                                                          |

Please note that the EnronOnline Phase 2 training sessions scheduled for Wednesday and Thursday of this week have been rescheduled to ensure that the training sessions include both the new website and the new Stack Manager functionality for Price Limit Orders.

The rescheduled dates are as follows:

Houston

Session 1 - Tuesday, Sept. 5 3:00 EB568. Session 2 - Thursday, Sept. 7 4:00 EB568

All Other Offices

Please contact Tammie Schoppe at 713 853 4220 to book a session. Note that sessions for European traders will be announced separately.

If you have any questions about the above, please contact Dave Samuels at 713 853 6931 or myself at 713 853 1861.

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*Message 21 of 28*

### CAISO Notice - Predispatch Enhancement Process

|            |                                  |
|------------|----------------------------------|
| Sender     | bwoertz@caiso.com                |
| Recipients | ['marketparticipants@caiso.com'] |
| File       | badeer-r/discussion_threads/40.  |

Market Participants:

Attached is the schedule for a stakeholder process to address issues raised by market participants regarding predispatch of Reliability Must-Run units. The ISO committed to this process at the June 7, 2000 Market Issues Forum meeting. This schedule will also be posted on the ISO web site under Stakeholder Processes/RMR Predispatch. If you wish to participate in this process, please notify Arlene Lester at (916) 608-5863, or alester@caiso.com. If you have any questions, contact Brian Theaker at (916) 608-5804 or btheaker@caiso.com <<Predispatch Process Schedule 062000.rtf>> Byron Woertz Director, Client Relations [Calendar]

- Predispatch Process Schedule 062000.rtf

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*Message 22 of 28*

### CAISO Notice - Extension for Response to CPUC Subpoena; Response to

|            |                                 |
|------------|---------------------------------|
| Sender     | bwoertz@caiso.com               |
| Recipients | ['20participants@caiso.com']    |
| File       | badeer-r/discussion_threads/92. |

Market Participants and Scheduling Coordinators:

The ISO has obtained an extension of time to comply with the CPUC subpoena received by fax yesterday evening, and by hard copy this morning. A copy of the subpoena will be posted on the web site tomorrow. The ISO is required to respond by Friday July 28. The CPUC is considering requests for confidential treatment. In accordance with the ISO tariff, Market Participants should at their own discretion and cost take steps to obtain confidential treatment for data and should inform the ISO so that the ISO can comply with its responsibility to support their efforts.

Questions on this matter should be directed to Jeanne Sole at (916) 608-7144.

The ISO did respond to the EOB subpoena today.

Jeanne M. Sol, Regulatory Counsel California ISO (916) 608-7144

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*Message 23 of 28***CAISO Communication: Retroactive 1999 UFE Market Correction Noti**

|                   |                                                                                                |
|-------------------|------------------------------------------------------------------------------------------------|
| <b>Sender</b>     | crcommunications@caiso.com                                                                     |
| <b>Recipients</b> | ['wregan@caiso.com', 'rabernathy@caiso.com', 'scsettlecontacts@caiso.com', 'gperez@caiso.com'] |
| <b>File</b>       | badeer-r/notes_inbox/82.                                                                       |

*SC Settlements Contacts;*

This Market Notification serves to advise you of the posting of the Retro-Active November 16th - 30th 1999 UFE Market Adjustments resulting from the ISO 1999 UFE Project results. The June 20, 2000 Preliminary Settlement Statement (PSS) contains the appropriate retro-active charge type adjustments, specific to each participating SC.

This is the Seventh of Nine retro-active UFE adjustment to be processed, to correct the UFE related settlement quality meter data (SQMD) problems experienced commencing August 21st 1999 in the PG&E UDC Service Area, which continued through December 31, 1999.

A copy of this ISO Project's final Report was previously distributed on June 15, 2000.

The UFE related market adjustments are reflected in Charge Types (CT) 111,112,114,115,116,402,403, 406, 1010,1011, 1030,1210. GMC (CT 351) will also be reconciled for those SC's which reported revised load, consistent with any resubmitted UFE Project meter data.

The ISO will continue to monitor system UFE on a regular basis, conduct periodic meter data audits, work with Market participants to help assure SQMD, and address any issues which arise. Once again, our appreciation for the Market's assistance to help assure an accurate UFE Market settlement and for submission of SQMD!

*ISO Project Manager Kyle T. Hoffman, (916) 608-7057 Client Relations, California ISO Internet: KHoffman@caiso.com FAX: (916) 608-7074 CRCommunications Client Relations Communications*

*Message 24 of 28***CAISO Communication: Market Notice of Pending UFE Adjustment - T**

|                   |                                                                                                |
|-------------------|------------------------------------------------------------------------------------------------|
| <b>Sender</b>     | crcommunications@caiso.com                                                                     |
| <b>Recipients</b> | ['wregan@caiso.com', 'rabernathy@caiso.com', 'scsettlecontacts@caiso.com', 'gperez@caiso.com'] |
| <b>File</b>       | badeer-r/notes_inbox/79.                                                                       |

*SC Settlements Contacts;*

**MARKET NOTICE** This Market Notification is to advise you of a misallocation of UFE that has been identified in the SCE and Pasadena's UDC territories between the Trade dates of April 27, 2000 and June 27, 2000 . On April 26, 2000 the ISO made a change to the ISO Masterfile that eliminated the ability for SCs to submit a schedule at the intra-tie resource ID for the Pasadena UDC territory. This change in turn, prevented the meter data that was directly collected by the ISO at the intra-tie/load point to be used in the Settlement calculations. The effect of this change was that from Trade date April 27, 2000 until corrected for Trade date June 28, 2000 the UFE calculation was performed without the proper data representing the intra-tie point between the SCE and Pasadena UDC territories. This caused UFE to be more positive in the SCE UDC territory and more negative in the Pasadena UDC territory. The UFE calculation used the appropriate meter data, for Trade dates June 28, 2000 forward . The ISO is in process of determining the method to reallocate the UFE for the period between Trade dates April 27, 2000 and June 27, 2000. The magnitude of the misallocation is estimated at approximately

\$14.5 Million .

Further notification to the Market will be made after the ISO determines the reallocation method and timeline .

ISO Project Manager Kyle T. Hoffman, (916) 608-7057 Client Relations, California ISO Internet: KHoffman@caiso.com FAX: (916) 608-7074 CRCommunications Client Relations Communications

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### CAISO Notification: Commencement of 2000 Operational Study in July

|            |                                  |
|------------|----------------------------------|
| Sender     | aleonard@caiso.com               |
| Recipients | ['marketparticipants@caiso.com'] |
| File       | badeer-r/discussion_threads/11.  |

#### Market Participants:

PricewaterhouseCoopers (PwC) is planning to commence the 2000 Operational Study in July 2000. As in past years, PwC is seeking input from market participants prior to recommending the specific procedures to be covered in this Operational Study. The Audit Committee will make the final decision on the scope of the Study based on recommendations from PwC, which will reflect input from this stakeholder feedback process. Please call or e-mail Charlotte Martin at (916) 351-2118 / cmartin@caiso.com to request a meeting (in person or via conference call) with PwC to discuss the scope of this study. As described at the May Audit Committee meeting, market participants will be given the opportunity to have a member of Operations management, Trent Carlson, present during all or a portion of the meetings. At its recent meeting, the Audit Committee reaffirmed its position that information conveyed during these meetings is to be treated in the strictest confidence when the market participants so desire. When making arrangements for the meeting please advise Charlotte which of the three choices you desire: 1) Meet with PwC only 2) Meet with PwC and Trent Carlson 3) Meet first with PwC only; followed by a session including Trent Carlson to cover certain matters addressed in the first meeting that the market participant wish to communicate directly to CAISO management.

Don Fuller Director, Client Relations

Sent on behalf of Don Fuller by Alice Leonard

Alice Leonard Client Relations (916) 351-4467 aleonard@caiso.com

Message 26 of 28

### CAISO Notification: Joint 2002-2004 RMR Study & Integrated Annual

|            |                                                                                     |
|------------|-------------------------------------------------------------------------------------|
| Sender     | aleonard@caiso.com                                                                  |
| Recipients | ['bmspeckman@aol.com', 'marketparticipants@caiso.com', 'brbarkovich@earthlink.net'] |
| File       | badeer-r/california/69.                                                             |

Market Participants, The Cal-ISO has begun preparations for performing the technical study to determine RMR MW requirements for the ISO-controlled grid in years 2002-2004. The results of this Study will be used in the Multi-year LARS 2002-2004 RMR process tentatively scheduled for the 1st quarter of 2001. Some preliminary work has been done to formulate a draft Study Plan and to develop Base Cases to perform the 2002-2004 RMR Technical Study. The draft Study Plan and Base Cases have been posted on the ISO web site: <http://www.caiso.com/docs/2000/04/28/2000042807462411493.html> In addition, the Cal-ISO has developed a draft Study Plan and are developing Base Cases to perform this year's Integrated Transmission Expansion Plan that will supplement the PTOs annual Transmission Expansion Plans. The draft Study Plan will be posted by 6/1/00, and the Base Cases will be posted by 6/7/00 on the ISO Web site :

<http://www.caiso.com/docs/2000/02/28/2000022816395812019.html> A joint RMR and Expansion Plan Study "kick-off" Stakeholder meeting will be held on Monday June 12, 2000, between 10:00 a.m. and 4:00 p.m., in Conference Room 101A-Rooms 1a & 1b at Cal-ISO Headquarters on 101A Blue Ravine Road in Folsom to discuss these preliminary Study work products. THE FOCUS OF THIS MEETING WILL BE ON TECHNICAL STUDY ISSUES - NOT ON POLICY. The meeting

agenda is attached. Please RSVP by Wednesday June 7, 2000, including the number of attendees from your organization, to Kristine Hargrave of the Cal-ISO at (916) 351-4470 or khargrave@caiso.com. If you have questions regarding the meeting arrangements, please contact Kristine. If you have questions regarding the Study efforts, please contact Steve Mavis at 916-351-2112 or smavis@caiso.com. <<Joint RMR and Expansion Plan Study agenda jun12.pdf>>

Don Fuller Director, Client Relations

Sent on behalf of Don Fuller by Alice Leonard

Alice Leonard Client Relations (916) 351-4467 aleonard@caiso.com

- Joint RMR and Expansion Plan Study agenda jun12.pdf

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### CPUC Supoena Deadline

|            |                              |
|------------|------------------------------|
| Sender     | shapp@caiso.com              |
| Recipients | ['20participants@caiso.com'] |
| File       | badeer-r/all_documents/194.  |

Market Participants and Scheduling Coordinators:

The ISO has posted the CPUC subpoena on its website at

<http://www.caiso.com/docs/2000/07/26/2000072610262610454.pdf>

<<http://www.caiso.com/docs/2000/07/26/2000072610262610454.pdf>> As stated in a message forwarded yesterday to market participants and scheduling coordinators, the CPUC has agreed to extend the deadline for a reply to Friday July 28, although the ISO has been informed today that the extension is only until NOON on Friday. In addition, the ISO discussed the reference to an affidavit in the subpoena with the CPUC and was informed that this results from a typo which will be corrected in a corrected document sent by federal express to the ISO yesterday (the words attached affidavit will be replaced with the word attachments). The ISO has accepted federal express service of the subpoena.

The ISO has raised confidentiality concerns with the CPUC and the CPUC agreed to circulate a draft of a confidentiality agreement to the ISO today. The ISO will forward the draft to market participants and scheduling coordinators as soon as we receive it. Once again the ISO reiterates to market participants that to the extent they have outstanding issues as to the subpoena, these should be raised directly with the appropriate entity. The ISO intends to comply with the subpoena on Friday unless it receives a legally sufficient communication to the contrary from the CPUC or a court.

Finally, a few market participants have requested that the ISO make available several letters forwarded to the EOB discussing confidential treatment. These letters are attached.

Questions should be directed to Jeanne M. Sol, at 916-608-7144.

Jeanne M. Sol, Regulatory Counsel California ISO (916) 608-7144

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**CAISO NOTIFICATION--Attention Requested: 10-Minute Settlement Mar**

|            |                                                                                                                   |
|------------|-------------------------------------------------------------------------------------------------------------------|
| Sender     | crcommunications@caiso.com                                                                                        |
| Recipients | ['tswg@caiso.com', 'wasil@wapa.gov', 'isoclientrelations@caiso.com', 'mrothleder@caiso.com', 'ntrawee@caiso.c...] |
| File       | badeer-r/all_documents/197.                                                                                       |

Market Participants,

Attention: Settlements and Scheduling Personnel

Your participation is requested in the second iteration of 10-Minute Settlement Market Simulation.

As communicated on 7/20/00, the ISO has postponed the August 1, 2000, implementation of 10-minute settlements in order to accommodate additional end-to-end testing and market simulation. The ISO's new target for implementation is the last week of August, 2000, contingent upon the successful completion of the second 10-Minute Settlement Market Simulation and ISO's 10 day written notice to FERC.

The second 10-Minute Settlement Market Simulation is scheduled to begin on Tuesday, August 1, 2000. The ISO will hold a kickoff meeting conference call on Thursday, July 27, from 1:30 - 3:00 p.m., to summarize the status of the first Market Simulation, discuss the second Market Simulation logistics, and review the Market Simulation Plan.

All Market Participants are strongly urged to participate in this simulation to identify any outstanding issues that may affect implementation for Scheduling Coordinators and the ISO.

Please respond to Cathy Young at cyoung@caiso.com by 3:00 p.m. on Friday if you intend to participate. The remainder of this message contains the kickoff meeting Agenda, Market Simulation Schedule, and necessary system set up documentation for the simulation.

10 MINUTE SETTLEMENT MARKET SIMULATION II KICKOFF CONFERENCE CALL July 27, 1:30 - 3:00 p.m.  
Conference Number 877-670-4111 Passcode 246870 Agenda: \* Review of first Market Simulation \* System Requirements \* ADS \* SI \* Metering \* Meter Data \* Refer to attached document: Metering August Mkt Sim1 \* MDAS Online work around \* Schedule Data Requirements \* RMR dispatch \* OOS \* Interties predispatch \* SC provide all DA market and supplemental energy bid data

Proposed Market Simulation Schedule (refer to attached Detailed Test Plan) \* Monday, July 31 ADS/SI/Metering connectivity \* Tuesday, August 1 DA market run for td 8/2/00 \* Wednesday, August 2 Real time market for td 8/2/00 (HE 11 -- 17)

DA market run for td 8/3/00 \* Thursday, August 3 Real time market for td 8/3/00 (HE 11 -- 17) \* Friday, August 4 Run settlements for 8/2/00 \* Monday, August 7 Run settlements for 8/3/00 Publish settlements for 8/2/00 \* Tuesday, August 8 Publish settlements for 8/3/00 \* Wednesday, August 9 Market Participant Review \* Thursday, August 10 Market Participant Review \* Friday, August 11 Conference call to review market sim.

Attached please find the following documentation for your use in setting up your systems for Market Simulation.

a. ADS Market Simulation Configuration b. ADS\_PAR Installation c. Software Configuration for SI Development System

It is important that you use this information to prepare your system setup ASAP. It may be necessary to have your IT department allow traffic through your firewalls to and from the ADS market simulation IP address and port. Please refer to the ADS Market Simulation Configuration document for detailed instructions.

If you are interested in verbally receiving RMR pre-dispatches during the market simulation, please let Cathy Young know when you sign up.

You may contact Christine Vangelatos at cvangelatos@caiso.com or (916) 351-2142 if you have any questions or concerns regarding ADS or SI configuration.

CRCommunications Client Relations Communications

<<ADS Market Simulation Configuration Instructions.doc>> <<ADS\_PAR Installation.ppt>> <<CONFIGUREdev1\_.doc>>  
<<10-min Market Simulation Test Script 2.doc>> <<Metering August Mkt Sim.doc>>

- ADS Market Simulation Configuration Instructions.doc - ADS\_PAR Installation.ppt - CONFIGUREdev1\_.doc - 10-min  
Market Simulation Test Script 2.doc - Metering August Mkt Sim.doc

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